OECD
BETTER POLICIES FOR BETTER LIVES

OECD Pension System 2026

Power BI Dashboard | OECD Data

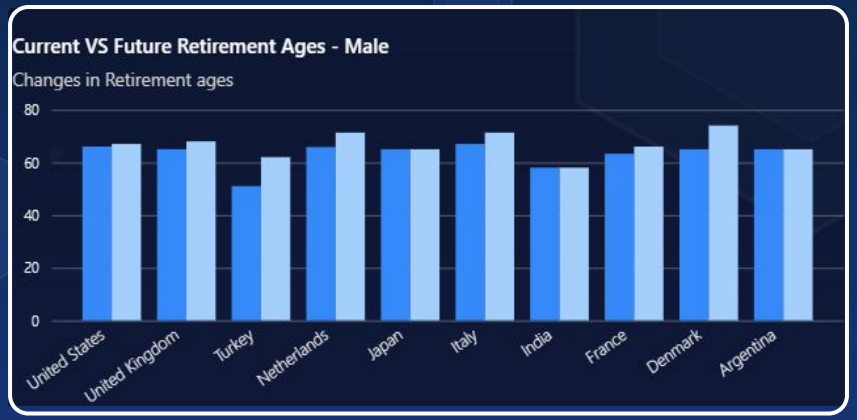
Main Dashboard Overview

Average Retirement Age - Male	Average Retirement Age - Female	Gross Replacement Rate	Net Replacement Rate	Average Worker Earnings	Life Expectancy (Male)
63	62	50.43	63.27	$36.11K	76.49

- Men retire at 63 yrs, women at 62 yrs on OECD average — women stop working about 1 year earlier
- Gross 50.43% means — if salary was Rs.1 lakh/month, pension = Rs.50,000/month (before tax)
- Net 63.27% is higher because pensioners pay much less income tax than working people
- Average OECD salary is $36,110/yr (approx. Rs.30 lakh/yr) — used as base for all calculations
- Life expectancy 76.49 yrs means pension funds must pay for 13+ years after retirement at age 63
- India and Turkey have highest replacement rates — most generous pension systems in the world
- Employment of older workers varies a lot — Iceland and Sweden highest, France and Belgium lowest

Retirement Ages

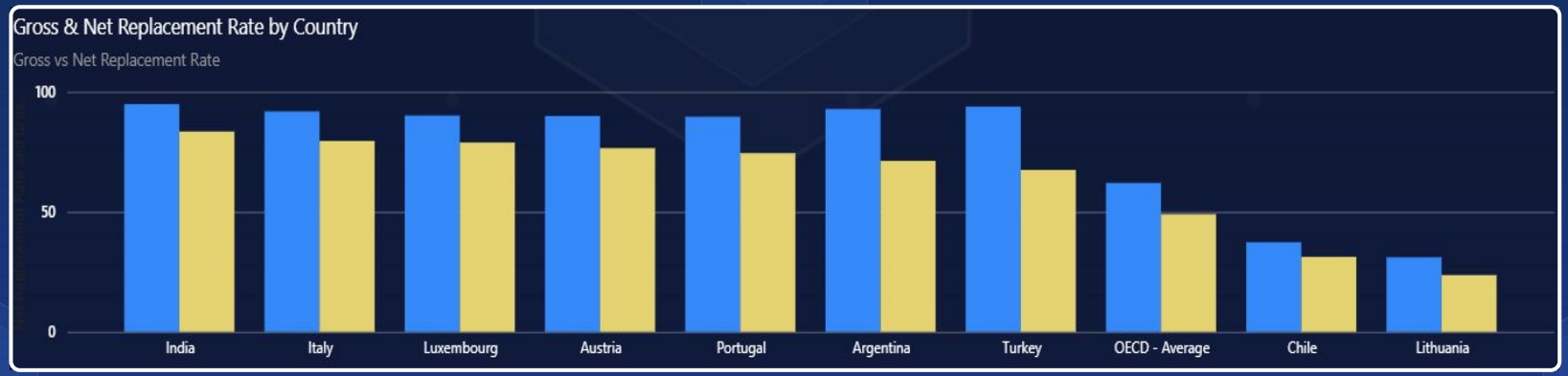
- Most OECD countries have official retirement age between 60 and 67 years — OECD average is ~63 years
- Many countries are raising retirement age — Denmark plans to push it to 74 by 2070, linked directly to life expectancy
- Gender gap — men retire later than women in most countries. Argentina has the biggest gap (men retire 5 years later)
- In Italy and Slovenia, gender gap is very small — men and women retire at almost the same age
- India, Indonesia, Saudi Arabia have lower retirement ages (~55-60 yrs) — different job market structure
- Big global policy trend — countries are slowly making men and women retire at the same age (gender equalisation)



Key Trend Box (add as highlighted text box on slide): Countries are raising retirement ages because people are living longer. Pension funds cannot afford to pay for 20-25 years.

Replacement Rates

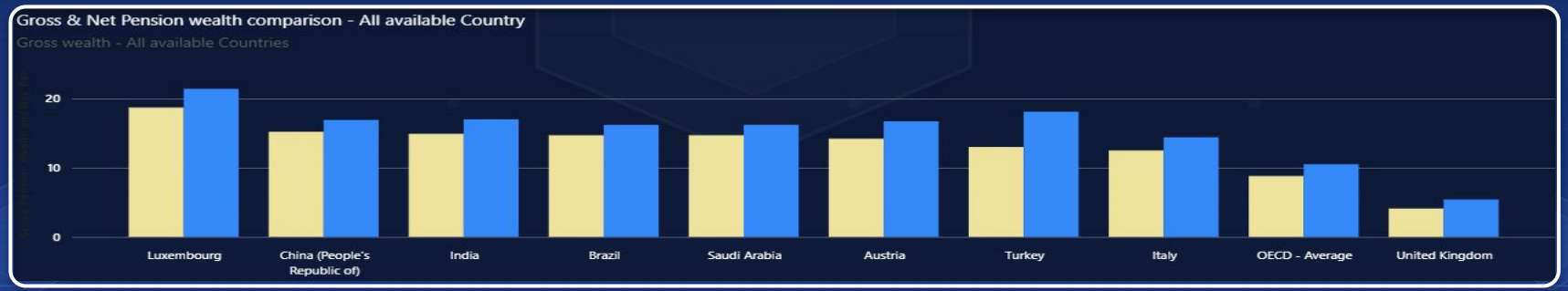
- India is #1 in both gross and net replacement rate — pension can be 90%+ of working salary. Very generous system on paper
- Turkey, Argentina, Italy, Luxembourg, Austria also very high — all above 70% net replacement rate
- Bottom countries: Lithuania, Poland, Mexico, Chile, South Africa — replace less than 30-40% of salary. People must rely on personal savings
- Net rate is always higher than gross — pensioners pay much less income tax, so they keep more money in hand
- OECD average: ~50% gross, ~63% net. Countries above this are considered generous systems
- Warning — high replacement rate does not always mean healthy system. Turkey and Argentina face serious funding problems despite high rates



Pension Wealth

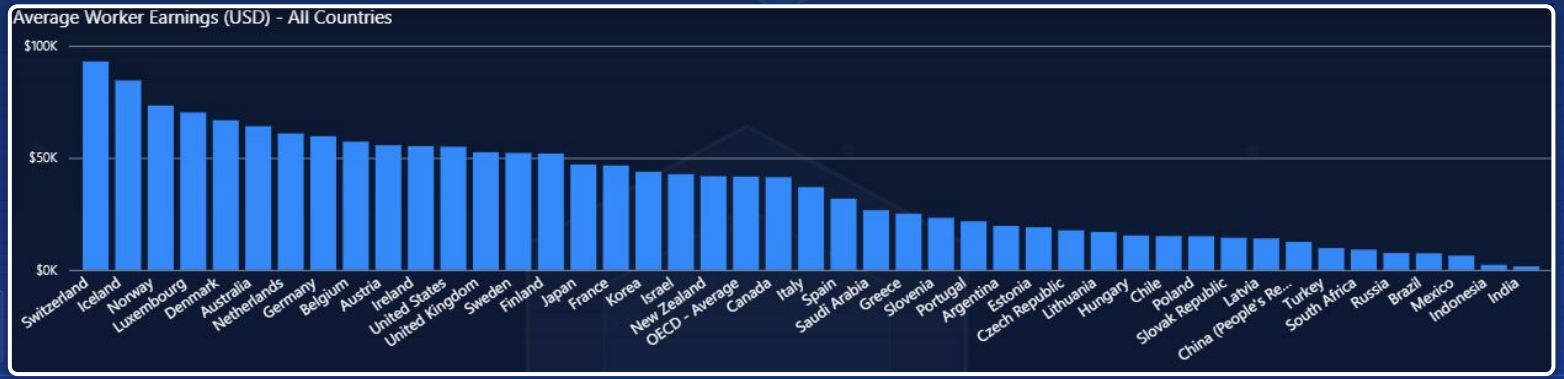
- Pension wealth = multiple of annual salary. Value of 10 means total pension = 10 years of working salary paid over retirement
- Luxembourg #1 with gross pension wealth of ~20x annual salary — a Luxembourg retiree collects 20 years worth of salary as pension!
- China, India, Brazil, Saudi Arabia, Austria also rank very high. India's high rank is due to high replacement rate + lower retirement age
- In net pension wealth, Turkey jumps to 2nd place — Turkey taxes pension income very lightly, pensioners keep almost all of it
- UK, Lithuania, South Africa, Mexico, Poland at the bottom — below 5x annual salary. Public pension alone not enough there
- 3 things drive pension wealth: (1) Replacement rate, (2) Retirement age — retire earlier = more pension years, (3) Life expectancy — live longer = more pension collected

Formula Box: Pension Wealth = Replacement Rate × Years in Retirement × Life Expectancy Factor



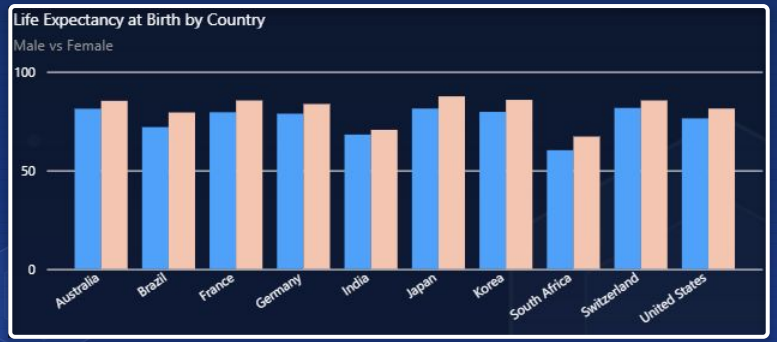
Worker Earnings

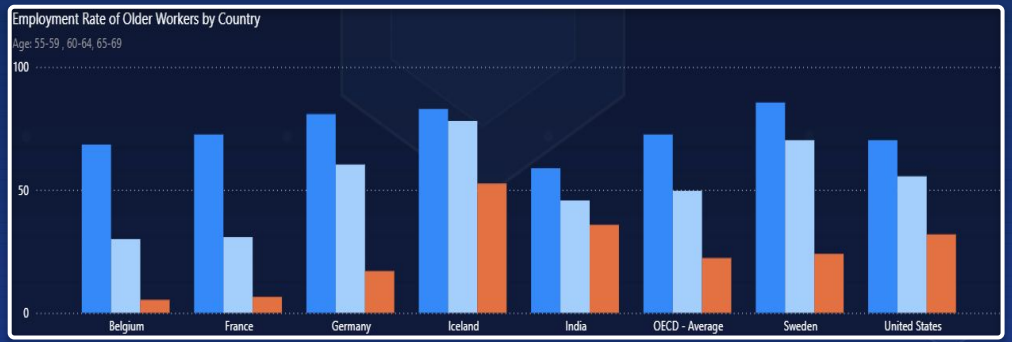
- Switzerland tops with ~$90,000/yr (Rs.75 lakh/yr). Iceland, Norway, Luxembourg, Denmark all above $70,000/yr
- Bottom countries — India, Indonesia, Mexico, Brazil, South Africa — all under $15,000/yr. Massive global salary gap
- Switzerland earns 30x more than India — same replacement rate % means very different actual pension money in hand
- Women spend more years in retirement than men in almost every country — they retire earlier AND live longer
- France and Greece — women spend 25+ years in retirement. Huge burden on pension funds!
- India has very low salary but very high replacement rate — pension is generous in % terms but small in actual dollar value



Life Expectancy and Employment

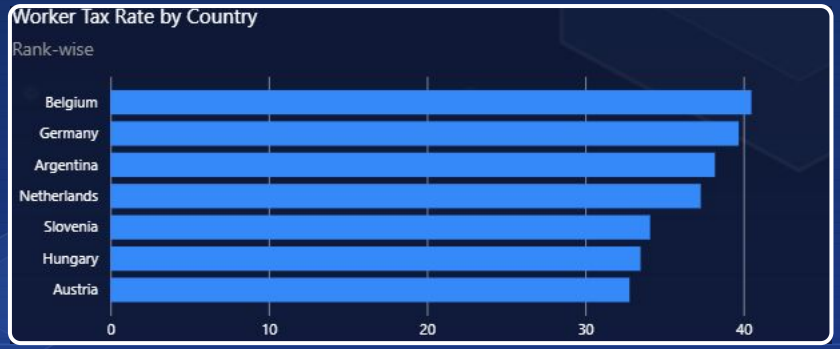
- Japan and Korea have highest life expectancy — women live beyond 87 years. India and South Africa lower at ~70-72 years
- Women live longer than men in EVERY country — usually by 5 to 7 years. Women have higher risk of outliving their money in retirement
- Effective labour market exit age is often LOWER than official retirement age — in France and Belgium, people leave workforce 3-5 years before official retirement
- Employment rate 55-69 age group: Iceland, Sweden, Norway highest (70%+ still working at 55-59). France and Belgium among the lowest
- 65-69 age bracket — Japan and Korea have 40%+ still working at this age. Many European countries below 10%
- Countries with long life expectancy + low older-worker employment = worst pension stress. France is the classic example

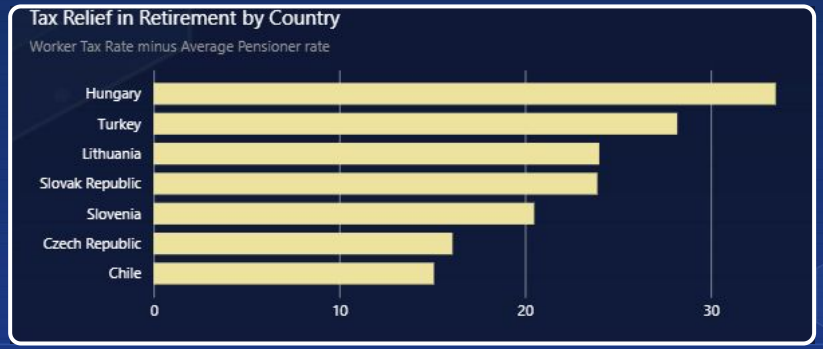




Tax Treatment

- Belgium, Germany, Argentina have highest tax rates on workers — very large portion of salary goes as income tax while employed
- Different countries tax pensions differently — some tax contributions, some tax pension income, some tax both or neither
- Tax relief in retirement — Hungary gives the most relief. Pensioners pay dramatically less tax than workers. Pension money goes much further!
- Turkey, Lithuania, Slovak Republic, Slovenia also give great tax relief to retirees — this is why their net replacement rate is higher than gross
- Saudi Arabia — near zero tax for everyone because Saudi Arabia has no income tax at all
- Heavy worker tax countries (Belgium, Germany) have higher gross replacement rates to compensate — take more while working, give more in retirement





Key Takeaways

- OECD avg pension replaces 50% of salary (gross) but 63% after tax (net) — because retirees pay less tax
- India and Turkey have most generous replacement rates in the world, but sustainability is the big concern
- Most countries are raising retirement ages because people are living longer — Denmark leads this trend
- Luxembourg has the highest total pension wealth (~20x annual salary). UK and Lithuania are at the bottom
- Switzerland earns 30x more than India — same % replacement rate means very different actual pension in hand
- France = most stressed pension system: long life expectancy + early workforce exit + few older workers still working
- Hungary gives biggest tax relief to retirees — net replacement rate looks much better than gross because of this

Thank You!